macroeconomic and macro prudential tools and other measures as policy instruments without being bound by a prescribed sequence. Under the circumstances, the fact that the 'Coherent Conclusions on Management of Capital Flows' (as endorsed by the G-20) are 'non-binding' needs to be taken note of.

*Given below are a brief overview of the **Vickers Commission Report** of the UK on its attempts towards the issue of Financial Regulation:*

The Independent Commission on Banking under Sir John Vickers submitted its report to the UK government in September 2011. The highlights of the report are:

1. One of the main reasons for bank failure during the global crisis was that they had too little equity in relation to risk- there were few restrictions on leverage.
2. The weights assigned in the 'risk-weighted' assets of the banks turned out unreliable and the erosion of equity led to concerns of solvency and contagion.
3. Though risks in banking have to rest somewhere, they should not fall on the taxpayer.
4. On 'Structural Separation' and 'Ring Fencing' – the main recommendation is that there should be a *structural separation* between retail banking and wholesale/investment banking.
5. There should be a ring fence to isolate banking activities where continuous provision of service is vital to the economy and to bank customers.
6. Domestic retail banking should be inside the ring fence.
7. Services should not be provided from within the ring fence if they are not integral to the provision of payments services to customers in the European economic area.
8. Banks with both retail and investment activities will need to keep these activities at arm's length but they could share information, infrastructure, etc.
9. Structural separation would help sustain the UK's position as a pre-eminent international financial centre, while UK banking is made